associated with satisfying broker minimum capital requirements.[896] The estimated aggregate initial and annual ongoing savings are $1,729,130 and $318,495, respectively.[897]

Rule and product filings. Rules 806 and 807 set forth alternative filing processes for a new rule or rule amendment of a registered SBSEF, and Rules 804 and 805 set forth alternative filing processes for an SBSEF to file an SBS product that it wishes to list. Rule 810 would address new product filings by an entity that has applied for SBSEF registration but has not yet been registered, or by a dormant SBSEF seeking reinstatement of its registration. The self-certification processes of Rules 804 and 807 require SBSEFs to include a certification that the product, rule, or rule amendment, as the case may be, complies with the SEA and Commission rules thereunder.[898] The information to be provided by the SBSEF under Rules 804, 805, and 810 will further the ability of the Commission to obtain information regarding SBS that an SBSEF intends to list on its market. The rules will assist the Commission in overseeing and regulating the trading of SBS and to help ensure that SBSEFs operate in compliance with the SEA.

In addition, Rule 806(a)(5), which requires an SBSEF to explain the anticipated benefits and potential anticompetitive effects on market participants of a proposed new rule or rule amendment, potentially could help foster a competitive SBS market because it could prompt

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896 Absent the rule, an SBSEF-B would comply with the minimum net capital requirement of $5,000 for a registered broker-dealer because it would not receive, owe, or hold customer funds or securities; carry customer accounts; and engage in certain other activities. *See* Rule 15c3-1(a)(2)(vi) under the SEA, 17 CFR 240.15c3-1(a)(2)(vi). The Commission estimates the cost of capital using the annual stock returns on a value-weighted portfolio of financial stocks from 1988 to 2022 (*see* Kenneth French, 48 Industry Portfolios, *available at* http://mba.tuck.dartmouth.edu/pages/faculty/ken.french/ftp/48_Industry_Portfolios_CSV.zip (accessed on May 18, 2023). These returns were averaged to arrive at an estimate of 16.41%. The cost of capital = 16.41% x $5,000 = $820.50 or approximately $821.

897 The Commission estimates the number of SBSEF-Bs as the number of entities that likely will register as SBSEFs. *See supra* section XVII.B.4. Aggregate initial savings = $345,826 x 5 (number of SBSEF-Bs) = $1,729,130. Aggregate annual ongoing savings = ($62,878 + $821) x 5 (number of SBSEFs) = $318,495.

898 *See* Rules 804(a)(3)(iv) and 807(a)(6)(iv).

SBSEFs to consider the positive as well as negative aspects of their proposed rules or rule amendments with respect to competition. Rule 808 is designed to facilitate the public's ability to obtain information from SBSEF applications as well as rule and product filings. Rule 808(a) specifies the parts of an SBSEF application that the Commission shall make publicly available unless confidential treatment is obtained pursuant to SEA Rule 24b-2. Rule 808(b) provides that the Commission shall make an SBSEF's rule and product filings publicly available unless confidential treatment is obtained pursuant to SEA Rule 24b-2. Rule 808(c) provides that the terms and conditions of a product submitted to the Commission pursuant to any of Rules 804 through 807 shall be made publicly available at the time of submission unless confidential treatment is obtained pursuant to SEA Rule 24b-2.

Rule 809 provides a mechanism for the staying of a product certification or the tolling of a review period for a filing by an SBSEF relating to a product while the appropriate jurisdictional classification of that product is determined. The rule is designed to provide regulatory certainty for SBSEFs and market participants who may be interested in trading products whose classification as an SBS subject to SEC jurisdiction or a swap subject to CFTC jurisdiction is unclear. In particular, Rule 809 would help ensure that determinations regarding whether the SEC or CFTC appropriately has jurisdiction over a product are made before the product is traded.

The Commission's election to model Rules 804 through 810 closely on analogous rules in part 40 of the CFTC's rules that apply to SEFs (and other registered entities) is designed to promote efficiency. Utilizing the same processes for rule and product filings, with which dually registered SEF/SBSEFs are familiar, would impose only minimal burdens on such entities while obtaining the similar regulatory benefits as the CFTC rules. In some cases, where a new rule or

rule amendment affects both the swap and SBS business of a dually registered entity, the same or a very similar filing could be made to each of the CFTC and SEC, in lieu of having to make different filings to support the same rule change.

Chief Compliance Officer. Rule 831, among other things, requires the CCO of an SBSEF to submit an annual compliance report to the Commission. The report will assist the Commission in carrying out its oversight of the SBSEFs and the SBS market by providing the Commission with information about the compliance activities of SBSEFs. Furthermore, by requiring an SBSEF to designate an individual as the CCO and making the CCO responsible for ensuring compliance with the SEA and the Commission's rules thereunder, Rule 831 would promote regulatory compliance on SBSEFs and the SBS market generally.[899] This in turn would further the goal of moving SBS trading away from opaque and unregulated OTC markets and onto transparent and regulated markets by promoting effective regulation of the latter.

Conflicts of Interest. Rule 831, among other things, requires the CCO to resolve material conflicts of interest that may arise in consultation with the governing board or the senior officers of the SBSEF.[900] Rule 828(a) requires an SBSEF to establish and enforce rules to minimize conflicts of interest in its decision-making process and establish a process for resolving the conflicts of interest. Rule 828(b) would require an SBSEF to comply with the requirements of Rule 834, which is designed to implement section 765 of the Dodd-Frank Act with respect to SBSEFs and SBS exchanges. Rule 834, among other things, imposes a 20% cap on the voting interest held by an individual member of an SBSEF or SBS exchange, mitigates conflicts of interest in the disciplinary process of an SBSEF or SBS exchange, sets forth certain minimum

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[899] The SBSEF remains responsible for establishing and administering required policies and procedures. *See supra* section VI.N.

[900] *See* Rules 831(a)(2)(iii) and (h)(2).

requirements for the composition of the governing board of an SBSEF or SBS exchange, sets forth reporting requirements related to governing board elections, and addresses the avoidance of conflicts of interest in the execution of regulatory functions by an SBSEF or SBS exchange.[901]

The rules would mitigate conflicts of interest between an SBSEF or SBS exchange and its members as discussed in section VIII. Relative to the bilateral OTC SBS market, SBSEFs and SBS exchanges promote competition between liquidity providers, potentially forcing them to lower their prices for supplying liquidity (e.g., narrowing bid-ask spread) and reducing their profits from liquidity provision. However, if SBS dealers or major SBS participants were able to restrict access to such venues by, for example, exercising their voting interest in an SBSEF or SBS exchange, they could stifle competition in SBSEFs and SBS exchanges and preserve their profits from liquidity provision. Regulation SE, by mitigating such conflicts of interest could help ensure access to SBSEFs and SBS exchanges and in turn increase competition in liquidity provision and lower transaction costs. Rules 834(e), (f), and (g) also may promote good governance at SBSEFs and SBS exchanges. To the extent that improved governance result in more effective oversight by SBSEFs and SBS exchanges of their markets, market participants may benefit. These benefits could be limited to the extent that prospective SBSEFs and SBS exchanges already have rules in place that comply with the rules.

Structured Data Requirements. Rule 825(c)(3) requires an SBSEF to publish a Daily Market Data Report on its website without charge or usage restrictions and in a downloadable and machine-readable format using the most recent version of the associated XML schema and PDF renderer as published on the Commission's website.[902] Requiring the Daily Market Data

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901 *See* Rules 834(b) to (g).

902 *See* Rule 825(c)(3).

Report to be provided in a structured, machine-readable data language (using a Commission-created XML schema) will facilitate the use of the price, trading volume, and other trading data on the report by end users such as SBS market participants and market observers. By including a structured data requirement, the information in the report will be made available in a consistent and openly accessible manner that will allow for automatic processing by software applications, thus enabling search capabilities and statistical and comparative analyses across SBSEFs and date ranges.[903] This will ensure that SBS market participants and market observers seeking to use the data will not have to spend time manually collecting and entering the data into a format that allows for analysis.

One commenter stated that using custom XML rather than Inline XBRL "would essentially require re-creating what XBRL already offers" and that the use of custom XML "would result in added costs for all stakeholders, reduced efficiencies in adapting to changes, and the inability to commingle datasets."[904] The Daily Market Data Report, which includes the trade count, the total notional amount traded, and the opening and closing price, is well-suited for custom XML as the information would easily fit within a table and the use of custom XML would make the file size of the document smaller than would be the case with Inline XBRL, which helps to reduce operating system overhead. Posting the Daily Market Data Report would not impose significant costs to prospective and actual SBSEFs due to the limited extent and complexity of the required data points to be reported, and because SBSEFs are already required to use structured data to fulfill their reporting requirements under Regulation SBSR[905] and

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903 In addition, the associated PDF renderer will provide users with a human-readable document for those who prefer to review manually individual reports, while still providing a uniform presentation.

904 *See* XBRL US Letter, *supra* note 718, at 2.

905 *See* 17 CFR 242.907(a)(2) (requiring information to be submitted to SDRs in an "open-source structured data format that is widely used by participants").

therefore would have relevant systems in place to structure and publicly disseminate other SBS trading information.[906] While the use of custom XML will make it more difficult for data users to aggregate and compare the data points on the Daily Market Data Report with data points in other Inline XBRL datasets in an efficient manner, the streamlined schema and reduced file size justify that drawback.

Regulation SE requires SBSEFs to file disclosures required under various provisions in the EDGAR system using structured (machine-readable) data languages.[907] Requiring a centralized filing location and a machine-readable data language for these disclosures will facilitate access, retrieval, analysis, and comparison of the disclosed information across different SBSEFs and time periods by the Commission and the public, thus potentially augmenting the informational benefits of the various disclosure requirements discussed herein. Also, because EDGAR provides basic technical validation capabilities, the use of EDGAR could reduce the incidence of technical errors (e.g., letters instead of numbers in a field requiring only numbers) and thereby improve the quality of the structured disclosures.

The structured data requirements under Regulation SE will facilitate access to the structured information in the filings, enabling Commission staff to perform more efficient retrieval, aggregation, and comparison across different SBSEFs and time periods, as compared to an unstructured PDF, HTML, or ASCII format requirement. The functionality enabled by a machine-readable data requirement will allow staff to better utilize the structured information in

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906 *See infra* section XVII.C.3 for a discussion of the specific content of the Daily Market Data Report and how it differs from the SBS transaction reports disseminated under Regulation SBSR.

907 This includes the documents required under: Rule 803(b)(1)(i) and (3) (filings of, and amendments to, specified exhibits in a Form SBSEF application); Rules 803(e) and 803(f) (requests to withdraw or vacate an application for registration); Rule 829(g)(6) (submission to the Commission of reports related to financial resources and related documentation); and Rule 831(j)(2) (submission to the Commission of the annual compliance report of the SBSEF's CCO). *See supra* section XIII.A.

Regulation SE filings to ensure compliance with the SEA and rules and regulations thereunder applicable to SBSEFs (e.g., by enabling efficient staff identification of material changes to compliance policies or material non-compliance matters to gauge the soundness of SBSEF compliance programs), thus ultimately furthering the Commission's mission of maintaining fair, orderly, and efficient markets.

In a change from the proposal, Regulation SE will require some of the structured disclosures to be filed in custom XML rather than Inline XBRL.[908] Because both custom XML and Inline XBRL are structured data languages that result in machine-readable disclosures, the aforementioned benefits would apply in both cases. Inline XBRL specifically provides the ability to tag detailed facts within narrative text blocks, and is thus well-suited to accommodate many disclosures required under proposed Regulation SE, several of which require extended narrative discussions (e.g., the chief compliance officer's report required under Rule 831).[909] In addition, certain required disclosures consist of financial information (e.g., the financial statements of the SBSEF required under Exhibit I to Form SBSEF), and Inline XBRL is designed specifically for the accurate capture and communication of financial information, among other uses. A benefit specific to custom XML disclosures is that EDGAR can create fillable web forms allowing SBSEFs, at their option, to input their disclosures manually and have EDGAR convert them into the specific custom XML data language, removing the need for SBSEFs to structure the

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908 The custom XML requirements apply to information required under Rules 803(e) and (f) regarding withdrawal or vacation applications; the Form SBSEF Cover Sheet; and Exhibits A, B, G, M, N, and T to Form SBSEF. The Inline XBRL requirements apply to information required under Rules 829 and 831 regarding financial resources reports and CCO compliance reports, respectively; and Exhibits C through F, H through L, and P through S to Form SBSEF. *See supra* section XIII.A. *See also supra* notes 724–726 and accompanying text (discussing the final rule text revisions that implement the reduced scope of Inline XBRL requirements for Form SBSEF).

909 *See* Rule 831.

disclosures in the custom XML data language themselves. This added flexibility may ease compliance burdens for any SBSEFs that choose to use the fillable web form.

One commenter noted that an Inline XBRL requirement for the proposed disclosures would allow financial identification and textual data in both a human- and machine-readable format consistently in a fashion that would allow Form SBSEF data to be commingled with other SEC-reported datasets.[910] While we generally agree that Inline XBRL provides such benefits related to data use, the greater compliance flexibility afforded by custom XML merits using custom XML for the specified disclosures.

In another change from the proposal, where Regulation SE requires copies of existing documents (e.g., copies of manuals, contracts, organizational documents) to be attached to filings, those copies will be filed as unstructured PDF attachments.[911] The absence of structuring requirements for these documents will further reduce compliance burdens on SBSEFs, and although the content of those copies will not be machine-readable, we do not believe the informational benefits associated with having such documents in structured form would be significant enough to merit requiring SBSEFs to retroactively structure such existing documents. In addition, filings related to new SBSEF rules and products under Rules 804 through 807 and 816 will be filed as unstructured documents through the EFFS system rather than through EDGAR. As noted by one commenter, the absence of structuring requirements for these filings will similarly reduce compliance burdens on SBSEFs.[912]

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910 *See* XBRL US Letter, *supra* note 718, at 2.

911 This includes attached copies of existing documents required under Exhibits A, G, I, M, N, and O to Form SBSEF. *See supra* section XIII.A. *See also supra* notes 724–726 and accompanying text (discussing the final rule text revisions that implement the reduced scope of Inline XBRL requirements for Form SBSEF).

912 *See* Bloomberg Letter, *supra* note 18, at 20. *See also supra* notes 730–733 (discussing the final rule text revisions that implement the requirement for SBSEFs to file rule and product filings in unstructured format using the EFFS system).

3. Costs

Although Regulation SE would benefit the SBS market, the Commission recognizes that Regulation SE also would entail certain costs.[913] Some costs are difficult to precisely quantify and are discussed below. The Commission is mindful that any rules it may adopt with respect to SBSEFs under the Dodd-Frank Act may impact the incentives of market participants with respect to where and how they trade SBS. If the rules adopted by the Commission are, or are perceived to be, too costly for trading venues to comply with, fewer entities than expected may seek to register as SBSEFs, which would not further the goal of moving a greater percentage of SBS trading from opaque and unregulated OTC markets to transparent and regulated trading venues. In addition, if the rules for trading on an SBSEF are perceived as too burdensome by market participants, SBS trading may continue in the OTC market absent a mandatory clearing determination and a triggering of the mandatory trade execution requirement, thus frustrating the goals of the Dodd-Frank Act.[914] Even if the trade execution requirement is triggered for an SBS, market participants that wish to avoid being subject to the requirement may do so by strategically choosing the location of the desk executing a trade in that SBS.[915] At the same time, if the rules relating to SBSEFs are too lenient, they may have little or no impact on the market structure and surveillance of the SBS market relative to the *status quo*, which could result in the loss of many of the benefits discussed above and fail to achieve the goals of the Dodd-Frank Act.

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913 Unless otherwise stated, quantified costs in this section are adjusted for CPI inflation using data published by the Bureau of Labor Statistics. *See CPI Inflation Calculator*, U.S. BUREAU OF LABOR STATISTICS, *available at* https://www.bls.gov/data/inflation_calculator.htm.

914 *See supra* section XVII.C (noting that the benefits and costs associated with the trade execution requirement would not materialize unless and until the Commission makes a mandatory clearing determination).

915 *See* Citadel Letter, *supra* note 18, at 16.

In addition, SBS traded on SBSEFs may be perceived to be subject to increased costs, monetary and otherwise. For example, the requirements related to pre-trade transparency could cause market participants to reveal valuable economic information regarding their trading interest more broadly than they may believe would be economically prudent and could discourage participation in the SBS market. An additional impact of pre-trade transparency is perceived costs associated with front-running, if customers or SBS dealers are required to show their trading interest before a trade is executed. These potential costs of pre-trade transparency may change market participants' trading strategies, which could result in them working more orders or finding ways to attempt to hide their interest.[916] These potential costs would likely vary based on the notional size of the SBS transaction and, in particular, would likely be greater for market participants engaging in SBS trades of a larger notional size.[917] If market participants view Regulation SE as too burdensome with respect to pre-trade transparency, SBS dealers may be less willing to supply liquidity for SBS that trade on SBSEFs or exchanges, thus adversely affecting liquidity and competition. However, such effects could be mitigated by Rules 815(d)(2) and Rules 815(d)(3) that provide an exception for certain package transactions that allows for flexible methods of execution for what would be otherwise Required Transactions.[918]

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916 *See, e.g.*, Ananth Madhavan, *Market Microstructure: A Survey*, J. of Fin. Markets, Vol. 3(2000).

917 The potential costs associated with SBS trades of a larger notional size could be affected by a definition of "block trade" that includes a block trade threshold that market participants could rely on for the exception from the Required Transaction requirement in Rule 815(a)(2). As discussed in section V.E.1(c)(i), *supra*, a block-trade exception for SBSs subject to the trade-execution requirement, provided that "block trade" is appropriately defined for those SBSs, can help ensure that large trades are not significantly more difficult and costly to execute because of the risks posed by information leakage and the potential for adverse price movement, which could significantly impair liquidity in the markets for those SBSs.

918 *See* Rule 815(d)(2) and Rule 815(d)(3). Neither an SBS that is intended to be cleared (even if it is not required to be cleared) nor a swap subject to a CFTC trade execution requirement would create an exception from required methods of execution for a Required Transaction that is part of the same package.